BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, PRAYAGRAJ

CA (CAA) No. 9/ALD of 2023
(First Motion)

Under Section 230 to 232 And Other Applicable Provisions of the Companies Act, 2013 Read with Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

Bahubali Dealtrade Private Limited

Having its Registered Office at:
52, Monohar Das Street,
2nd Floor, Kolkata- 700007

***** **Transferor Company No 1/Non-Applicant**

And

Kalanidhi Commercial Private Limited

Having its Registered Office at
52, Monohar Das Street, 2nd Floor, Kolkata- 700007

***** **Transferor Company No 2/Non-Applicant**

And

SHIVRATRI COMMOTRADE PRIVATE LIMITED,

Having its Registered Office at
52, Monohar Das Street, 2nd Floor, Kolkata- 700007

***** **Transferor Company No 3/Non-Applicant**

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And

SATVIK POLYCHEM PRIVATE LIMITED,

Having its Registered Office at 203, Charan Paduka Apartments, 120/839, Lajpat Nagar Kanpur - 208005

***** **Transferee Company/Applicant**

Order pronounced on: 20.07.2023

CORAM: Hon'ble Mr. Praveen Gupta, Member (Judicial)

Hon'ble Mr. Ashish Verma, Member (Technical)

Present through Physical hearing: -

For the Applicant Companies: 1. Mr. N. Gurumurthy, FCA

2. Ms. Aisha Amin, Advocate

ORDER

1. This is a joint first Motion Application filed by Applicant Companies namely; **Satvik Polychem Private Limited Avenue** (Transferee Company) for amalgamation of **Bahubali Dealtrade Private Limited -** transferor company no.1/non-applicant**, Kalanidhi Commercial Private Limited –** transferor company no.2/non-applicant transferor company no. 2 and **Shivratri Commotrade Private Limited -** transferor company no.3/non-applicant with **Satvik Polychem Private Limited Avenue -**

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Transferee Company/Applicant under Sections 230 & 232 of the Companies Act, 2013 (the Act), the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the National Company Law Tribunal Rules, 2016 in relation to the Scheme of Amalgamation between the Applicant Companies and their respective shareholders and creditors (the Scheme). The said Scheme has been attached as **Annexure – C** of the Application.

2. It is submitted by the Ld. Counsel for the Applicant that the Applicant Company has prayed for dispensation of the requirement of the convening meetings of the Equity Shareholders, Secured Creditors and to convene and hold separate meeting of Unsecured Creditors of the Applicant transferee Company.

3. It is submitted by the Ld. Counsel for the Applicant that the Registered office of the Transferor Companies are all located in the state of West Bengal and hence outside the jurisdiction of this Bench.

4. It is submitted by the Ld. Counsel for the Applicant that the Non-Applicant Companies have filed Company Application before the Kolkata Bench being CA (CAA) NO

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111/KB/2023 granting dispensation with the requirement of convening meetings of the Equity Shareholders, Secured Creditors and Unsecured Creditors in respect of Non-Applicant Companies.

5. The Applicant Transferee Company/Applicant Company is presently engaged in trading of chemical products.

6. The Transferee Company/Applicant Company submits that the Companies involved in the Scheme are all closely held family owned and controlled Companies.

7. It is submitted that the Registered Office of the Applicant Transferee Company is situated in the State of Uttar Pradesh. Hence, the jurisdiction of Applicant Company lies with this Bench.

8. The rationale of the Scheme is given below:

   a) The TRANSFEREE COMPANY is presently engaged in the trading business of chemicals products. The TRANSFEROR COMPANY NO.1, TRANSFEROR COMPANY NO.2 and TRANSFEROR COMPANY NO.3 have made deployment of funds in other investable instruments. The business of the TRANSFEROR

COMPANIES and the TRANSFEREE COMPANY can be combined/adjusted and carried forward conveniently with combined strength;

b) The amalgamation will enable the TRANSFEREE COMPANY to consolidate its line of business by restructuring and re-organizing its business activities and Capital Structure;

c) The amalgamation will enable the amalgamated company to broad base their business activities under the roof of the TRANSFEREE COMPANY;

d) The amalgamation will result in economy of scale including reduction in overhead expenses relating to management and administration in better and more productive utilization of various resources;

e) The business of the Company can be conveniently and advantageously combined together and in general business of the Company concerned and will be carried on more economically and profitably under the said Scheme;

f) The said Scheme of Amalgamation will enable the establishment of a larger company with larger resources and a larger capital base enabling further development of the business of the company concerned. The said scheme will also enable the undertakings and business of the said applicant company to obtain greater facilities possessed and enjoyed by one large company compared with a number of small Company for raising capital, securing and conducting trade on favorable terms and other benefits;

g) The said scheme will contribute in furthering and fulfilling the objects of the Company concerned and in the growth and development of these businesses;

h) The said scheme will strengthen and consolidate the position of the amalgamated company and will enable the amalgamated company to increase its profitability;

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i) The said scheme will enable the undertakings concerned to pool their resources and to expand their activities;

j) The said scheme will enable the Companies concerned to rationalize and streamline their management, business and finances and to eliminate duplication of work to their common advantages;

k) The said scheme will have beneficial results for the Companies concerned, their shareholders, employees and all concerned.

9. It is stated that the Board of Directors of the Transferee Company/Applicant Company in their meeting held on 6th March, 2023 have considered and unanimously approved the proposed Scheme of Amalgamation subject to sanctioning of the same by this Tribunal. The copy of resolution passed by the Board of Directors of the Applicant Company is annexed with the Company Application as **Annexure - D** of the application.

10. The Appointed Date of the Scheme is 01.04.2022 as mentioned in the Scheme of Amalgamation which is annexed as **Annexure – C** with the application.

11. It is stated that the Transferee Company/Applicant Company has filed their Audited Financial Statements as on 31st March, 2022 and which are attached as Annexure: B, with the Application. It is further submitted that Un-Audited Financial Statements of the Applicant Companies made up to 28th February, 2023 are annexed as Annexure: B1 with the Application.

12. It is further submitted that no corporate debt restructuring is envisaged in the proposed Scheme of Amalgamation.

13. It is further submitted that in pursuance of the proviso to Section 230 (7) and Section 232 (3) of the Act, the Applicant Company has filed Certificate dated 10th March, 2023 issued by its Statutory Auditor, certifying that the Scheme is in compliance with the Accounting Standards prescribed under section 133 of the Act and the same is annexed as Annexure H of the application.

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14. It is further submitted by the Counsel for the Applicant Companies that the Valuation Report/Share Exchange Ratio Report dated 28th February, 2023 submitted by CA Mukesh Banka, Registered Valuer bearing Registration No. IBBI/RV/06/2019/12905 is attached as Annexure E of the application.

15. It is submitted by the learned counsel that the Scheme (Annexure C) also takes care of the interests of the staff/workers and employees of the Applicant Companies, by virtue of Paragraph 8 of the Part III of the Scheme.

16. The Authorised Representative of the Applicant Companies has deposed by way of affidavit that there are no inspection, inquiry, investigations or legal proceedings pending against the Applicant Companies under Section 210 to 227 of the Companies Act, 2013 and Section 235 to 251 of the Companies Act, 1956 and other applicable provisions of the Companies Act, 1956/2013. Further it is also submitted that no winding up application has been filed against any of the Applicant Companies and there are no liquidation proceedings against any of the Applicant

Companies. The same has been filed by way of supplementary affidavit.

17. It is submitted by the Ld. Counsel for the Applicants that there is no sectoral regulator in any of the Applicant Companies whose approval may be required for the sanction of the Scheme of Amalgamation except the statutory authorities i.e. (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Kanpur; and (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income Tax Department, under whose jurisdiction the Applicant Company is assessed.

18. The Applicant Company have furnished the following documents: -

a) Proposed Scheme of Amalgamation (Annexure – C, of the Company Application).

b) Certificate of Incorporation along with Memorandum and Articles of Association of the Applicant Company (Annexure A of the application).

c) List of equity shareholders of the Applicant Company along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting. (Annexure F of the Company Application).

d) List of Secured Creditors of the Applicant Company along with consent affidavits of Secured Creditors approving the Scheme and dispensing with the requirement to convene the meeting duly certified by the Chartered Accountant duly. (Annexure G of the Company Application).

e) List of Unsecured Creditors of the Applicant Company duly certified by the Chartered Accountant. (Annexure G of the Company Application).

f) Audited Financial Statement as on 31st March, 2022 and Unaudited Financial Statement (Provisional) as on 28th February, 2023 - (Annexure- B and Annexure - B1 of the Company Application).

g) Valuation Report specifying the proposed Share Exchange Ratio and indicating the fair value of

equity share (Annexure E of the Company Application).

h) Certified true copy of extract of the minutes of the board resolution of the Applicant Company approving the Scheme (Annexure- D of the Company Application).

i) Affidavit that there are no pending investigation, winding up application and compromise with the creditors (Supplementary affidavit).

j) Certificates of Statutory Auditors to the effect that accounting treatment proposed in the Scheme is in conformity with Section 133 of Companies Act, 2013 (Annexure - H of the application).

19. It is submitted by the Ld. Counsel for the Applicant that the Transferee Company/Applicant Company has 59 Unsecured Creditors aggregating to Rs. 41,87,83,637/- as on 28-02-2023.

20. It is submitted by the Ld. Counsel for the Applicant that the Applicant Company had following class of shareholders and creditors:

	SHAREHOLDERS ALONG WITH THEIR CONSENT ON AFFIDAVIT			
PARTICULARS	EQUITY SHARE HOLDERS as on 28-02-2023	CONSENT SUBMITTED ON AFFIDAVIT	PREFERENCE SHARE HOLDERS 28-02-2023	CONSENTS SUBMITTED ON AFFIDAVIT
TRANSFEREE COMPANY	6	100%	NIL	N/A
	CREDITORS ALONG WITH THEIR CONSENTS ON AFFIDAVIT			
PARTICULARS	SECURED CREDITORS as on 28-02-2023	CONSENTS SUBMITTED ON AFFIDAVIT	UNSECURED CREDITORS 28-02-2023	CONSENTS SUBMITTED ON AFFIDAVIT
SECTION A				
TRANSFEREE COMPANY	2	100%	59	MEETING TO BE CONVENED

21. Accordingly, the directions of this Bench in the present case are as under:

I. In relation to the Applicant Company:

a) The meeting of the Equity Shareholders of Applicant Company is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

b) The meeting of the Secured Creditors of Applicant Company is dispensed herewith, keeping in view that 100% in value of the Secured Creditors of Applicant Company have given their consents by way of affidavits.

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c) The meeting of the Unsecured Creditors of the Applicant Transferor Company/Demerged Company (Except whose outstanding balance is equal to or less than Rs. 10,000/- (Rupees Ten Thousand only) be convened as prayed for on Friday, 1st September, 2023 at 11:00 A.M. at SOLITAIRE INN, 117/K/28, Sarvodaya Nagar, Kanpur, Uttar Pradesh 208005. The quorum of the meeting of the Unsecured Creditors shall be 10% of the Unsecured Creditors. For computing the quorum, unsecured creditors present through valid proxy shall also be considered.

II. In case the required quorum as noted above for the meetings is not present at the commencement of the meeting, the meeting shall be adjourned by 30 minutes and thereafter the creditor(s) present and voting shall be deemed to constitute the quorum.

III. Mr. Kartikeya Saran, Mobile No.9648554788, email id: kartikeya.saran@gmail.com is appointed as the Chairperson and Mr. Yash Tandon, Mobile No. 9839152215, email id: tandon.yash@gmail.com is

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appointed as the Co- Chairperson for the meetings to be called under this order. An amount of Rs.1,50,000/- (Rupees One Lakh Fifty Thousand only) and Rs. 1,25,000/- (Rupees One Lakh Twenty-Five Thousand only) be paid respectively for their services. The Chairperson shall have all other powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 read with the other applicable rules and provisions in relation to conduct of the meetings, including for deciding procedural questions that may arise at the meeting(s) or at any adjournment thereof, or any other matter relating to the meetings, including an amendment to the Scheme, if any, proposed by any persons.

IV. Mr. S.K. Gupta, Mobile No. 9415042137, email id: skgupta1903@gmail.com, is appointed as the Scrutinizer for the above meetings to be called under this order. An amount of Rs.1,00,000/- (Rupees One Lakh only) be paid for his services as the Scrutinizer.

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V. Apart from the above remuneration, the Applicant Company shall make necessary and proper arrangements for travel/transport, stay and other allied expenses.

VI. It is further directed that individual notices of the said meetings shall be sent by the Applicant Company through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and time as aforesaid, together with a copy of the Scheme, copy of the explanatory statement, Report on Valuation of Shares and Share Exchange Ratio of the Registered Valuer as discussed in Para 14 of this order, form of proxy and documents required to be sent under the Companies Act, 2013 and the applicable Rules made thereunder.

VII. It is further directed that along with the notices, the Applicant Company shall also send statements explaining the effect of the scheme on the creditors, shareholders, key managerial personnel, promoters and non-promoter members, etc. along with the effect of the scheme of amalgamation on any material interests of the Directors of

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the Applicant Company provided under sub-section (3) of Section 230 of the Act.

VIII. It is further directed that the provisional Accounting Statement of the Applicant Company be also circulated along with the Notice of the aforesaid meetings in terms of Section 232(2) (e) of the Companies Act, 2013.

IX. That the Applicant Company shall publish an advertisement with a gap of at least 30 clear days before the aforesaid meetings, indicating the day, date and place and the time of the meeting as aforesaid, to be published in "Financial Express" (Kanpur Edition) and "Rashtriya Sahara" (Kanpur Edition). It shall be stated in the advertisement that the copies of "Scheme", the Explanatory Statement required to be furnished can be obtained free of charge at the registered office of the Applicant Company pursuant to Section 230 to 232 of the Act. The Applicant Company shall also host the notice on the website, if any.

X. It shall be the responsibility of the Applicant Company to ensure that the notices are sent under the signature and supervision of the authorized representative of the

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Applicant Company on the basis of Board resolutions and that they shall file their affidavits in the Tribunal at least seven days before the date fixed for the meeting.

XI. At the venue of the meetings held physically, voting shall be conducted physically through poll by polling paper and the Unsecured Creditors present in person or by proxy shall be entitled to vote thereat. Subject to the directions and matters dealt with herein, the procedure for voting by polling paper and conduct of voting at the meeting shall be in so far as the same is prescribed by the Companies Act, 2013 read with the Companies (Management and Administration) Rules, 2014, Secretarial Standards on General Meetings and the forms prescribed thereunder shall be followed with such variations as may be required in the circumstances and in relation to the resolution for approval of the Scheme of Amalgamation.

XII. The Scrutinizer's report will contain his/her findings on the compliance to the directions given in Para VI to XI above.

XIII. The Chairperson shall be responsible to report the result of the meetings to the Tribunal in Form No. CAA-4, as per

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Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 within 15 (Fifteen) days of the conclusion of the meeting. The Chairperson would be fully assisted by the authorized representative/Company Secretary of the Applicant Company and the Scrutinizer in preparing and finalizing the reports.

XIV. The Applicant Company shall individually and in compliance of sub-section (5) of Section 230 of the Act and Rule 8 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 send notices in Form No. CAA-3 along with copy of the Scheme, Explanatory Statement and the disclosures mentioned in Rule 6 of the "Rules" to (i) Central Government through the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (ii) Jurisdictional Registrar of Companies; (iii) Income Tax Department having jurisdiction over the Applicant Companies by mentioning the PAN number of the Applicant Company; (iv) The Official Liquidator, Uttar Pradesh, Allahabad, and to such other Sectoral Regulator(s) governing the business of the Applicant

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Company, if any, stating that report on the same, if any, shall be sent to this Tribunal within a period of 30 days from the date of receipt of such notice and copy of such report shall be simultaneously sent to the Applicant Company, failing which it shall be presumed that they have no objection to the proposed Scheme.

XV. The Applicant Company shall furnish a copy of the Scheme free of charge within one day of any requisition for the Scheme made by any creditor or member/shareholder entitled to attend the meeting as aforesaid.

XVI. The Authorized Representative of the Applicant Company shall furnish an Affidavit of Service of Notice of Meeting and publication of advertisement and compliance of all directions contained herein at least seven days before the date fixed for the meetings.

XVII. All the aforesaid directions are to be complied with strictly in accordance with the applicable laws including forms and formats contained in the Rules as well as the provisions of the Companies Act, 2013 by the Applicant Company.

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XVIII. The Company Petition for confirmation of the Scheme is to be filed within the time period prescribed under the provisions of the Act and corresponding rules made thereunder. The appropriate prayer would also be made in the second motion petition for publication in newspaper

22. With the aforesaid directions, this First Motion Application stands disposed of. A copy of this order be supplied by the learned counsel for the Applicant Company to the Chairperson, Co-Chairperson and the Scrutinizer immediately.

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Ashish Verma **Member (Technical)**	**Praveen Gupta** **Member (Judicial)**

Aditi Kharbanda
(LRA)